INSTITUTIONAL EQUITY RESEARCH MEMO

Amazon.com, Inc. (AMZN)

Cloud, Advertising, Logistics Scale, and AI Infrastructure Optionality

Final rating	Confidence	Risk
Buy	**74 / 100**	**58 / 100**
Watch sizing around AI capex and market-data freshness.	High-quality assets; valuation and capex reduce certainty.	Execution, capex, antitrust, and multiple risk.

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A. Executive Summary

Bull thesis

- AWS growth reaccelerated to 28% YoY in Q1 2026 on a very large base.
- Advertising exceeded a $70B TTM revenue run-rate per Amazon commentary, adding high-margin monetization to retail traffic.
- Retail fulfillment speed, robotics, regionalization, and international margin improvement can support durable operating leverage.

Bear thesis

- AI infrastructure spend can pressure free cash flow and returns if demand or pricing disappoints.
- AWS competes with Microsoft Azure, Google Cloud, Oracle, and specialist AI clouds.
- Regulatory, labor, tariff, and marketplace risks remain structurally high.

Base-case view AMZN remains a high-quality compounder with three profit pools: AWS, advertising, and retail/logistics scale. The stock deserves a premium, but new money should prefer staged entries because the AI capex cycle can create valuation volatility.

Rating: Buy The setup is attractive for long-term investors, but not a blind Strong Buy without confirming current valuation and technical entry.

B. Business Model

Area	Validated read
What Amazon sells	Online and physical retail, third-party marketplace services, Prime subscriptions, advertising, AWS cloud infrastructure/platform services, devices, media, and logistics capabilities.
Customers	Consumers, third-party sellers, advertisers, developers, enterprises, public sector entities, and media subscribers.
Revenue streams	Online stores, physical stores, third-party seller services, subscription services, advertising services, AWS, and other services.
Distribution	Owned fulfillment network, regionalized delivery, third-party seller marketplace, AWS global regions, Prime ecosystem, and digital channels.
Key partners	Third-party sellers, AWS enterprise customers, Anthropic/OpenAI/Meta/NVIDIA and other AI/cloud relationships cited in recent Amazon releases.

C. Industry & Competitive Position

Peer group	Ticker	Company	Why included	Use

Direct operating	WMT	Walmart	Scaled retail, marketplace, grocery, fulfillment.	Retail execution and margin benchmark
Direct operating	BABA	Alibaba	Marketplace + cloud + ads mix, non-U.S. regulatory contrast.	Marketplace monetization benchmark
Direct operating	MSFT	Microsoft Azure	Hyperscale cloud and AI infrastructure competitor.	AWS cloud growth/margin comp
Public valuation	GOOGL	Alphabet	Digital advertising, cloud, high-margin platform economics.	Ad/cloud valuation comp
Public valuation	META	Meta Platforms	Advertising scale, AI capex debate, margin comparison.	Ad platform multiple comp
Public valuation	COST	Costco	Premium retail multiple and membership economics.	Retail quality multiple comp
Adjacent strategic	ORCL	Oracle	Cloud infrastructure capacity and enterprise workloads.	AI infrastructure demand signal
Adjacent strategic	NFLX	Netflix	Streaming/ads attention competitor, not a retail peer.	Prime Video strategic context
Adjacent strategic	SHOP	Shopify	Merchant enablement and commerce software ecosystem.	Marketplace adjacency

Rejected unrelated peers: autos, banks, biotech, and unrelated software names are not operating peers for AMZN. Microsoft/Alphabet/Meta are included only where their cloud or advertising businesses directly overlap.

D. Financial Analysis

Metric	Value	Analyst note
FY2025 revenue	$716.9B	Amazon 2025 Form 10-K / Q4 release; +13% YoY.
FY2025 operating income	$80.0B	Operating margin roughly 11.2%; scale efficiency continued.
FY2025 net income	$77.7B	Includes non-operating investment impacts; normalize for core earnings.
2025 segment revenue	NA $426.3B / Int'l $161.9B / AWS $128.7B	AWS was ~18% of revenue but majority of operating profit.
2025 segment operating income	NA $29.6B / Int'l ~$4.8B / AWS $45.6B	AWS remains the profit engine.
Q1 2026 revenue	$181.5B	Official Q1 release; +17% YoY.
Q1 2026 segment revenue	NA $104.1B / Int'l $39.8B / AWS $37.6B	AWS +28% YoY, fastest growth in 15 quarters per Amazon.
Gross margin	Missing	Amazon does not present a simple gross margin in the release; use operating margin by segment.
Free cash flow	Missing in memo model	Must be refreshed from cash-flow statement before final IC use.
Cash / debt	Cash unavailable in live fetch	Pull from latest 10-Q/10-K before trading-size decision.

Quality read

AWS drives the majority of operating income while retail and international are increasingly profitable. Advertising is a high-margin layer on top of retail intent.

Working capital / inventory

Detailed inventory and working-capital trend analysis should be refreshed directly from the latest 10-Q cash-flow and balance-sheet tables before final IC distribution.

E. Valuation

Item	Value	Interpretation
Current market cap	Unavailable	Unavailable; PDF labels missing data.
Trailing P/E	Unavailable	Use cautiously due investment gains and capex cycle.
Forward P/E	Unavailable	Better proxy for normalized earnings power.

EV/EBITDA	Unavailable	Useful but cloud capex intensity matters.
P/S	Unavailable	Blended retail + AWS + ads multiple has limited precision.
Bear case	Unavailable	AWS slows, capex absorbs FCF, retail margin stalls.
Base fair value	Unavailable - Unavailable	Assumes AWS/ads growth funds AI capex while retail margins grind higher.
Bull case	Unavailable	AWS AI demand, ads, logistics automation, and international margin expansion compound.

Base valuation method: sum-of-the-parts thinking rather than a single retail multiple. AWS and ads warrant higher software/platform-like multiples; first-party retail/logistics warrants lower commerce multiples. The final fair-value range is deliberately conservative until live market cap and normalized FCF are refreshed.

F. Catalysts

Near-term

- Q2 2026 guide: 16%-19% sales growth per Amazon IR.
- AWS AI customer wins and Bedrock usage acceleration.
- Advertising growth and retail unit growth.
- Analyst estimate revisions after Q1 2026.

Long-term

- Trainium/Graviton/Nitro chip economics.
- International margin expansion.
- Robotics and same-day logistics productivity.
- Project Kuiper/Amazon Leo optionality.

G. Risks

Risk	Why it matters
Valuation risk	Premium multiple can compress if AI capex does not convert to durable AWS/ads earnings.
Execution risk	Retail, logistics, AWS, ads, devices, media, and satellite initiatives require disciplined capital allocation.
Competition risk	Azure/GCP/Oracle in cloud, Walmart/Target/Costco/Alibaba in commerce, Google/Meta/TikTok in ads.
Margin risk	AI infrastructure, fulfillment wages, energy, memory supply, tariffs, and shipping costs can pressure margins.
Regulatory risk	Marketplace, labor, privacy, antitrust, and international tax scrutiny remain persistent.
Technical breakdown risk	Breakdown below Unavailable would weaken the setup and force reassessment.

H. Technical Analysis

Metric	Value	Read
Last price	Unavailable	Latest Yahoo chart/quote when available.
20 / 50 / 100 / 200 DMA	Unavailable / Unavailable / Unavailable / Unavailable	Trend stack.
RSI	Unavailable	Overbought above 70, washed out below 30.
MACD	Unavailable	Positive histogram supports momentum.
Support / resistance	Unavailable / Unavailable	Recent 45-session range.
Breakout / breakdown	Unavailable / Unavailable	Use with volume confirmation.

Entry plan Starter near Unavailable; better pullback near Unavailable; add-on breakout above Unavailable on volume; invalidation near Unavailable.

3-month target: Unavailable to Unavailable. 12-month technical target range: Unavailable to Unavailable if trend and fundamentals confirm.

I. Position Sizing Plan

Tranche	Allocation	Trigger
Starter	20%-25%	Near Unavailable if price holds above short-term support.
Add on pullback	25%-30%	Near Unavailable if fundamentals remain intact.

Add on breakout	25%-30%	Above Unavailable with volume confirmation.
Reserve	20%-30%	Keep dry powder for market-wide volatility or capex-related drawdowns.
Max loss / invalidation	Defined by stop	Reassess below Unavailable or if AWS/ads growth decelerates sharply.

J. Final Verdict

Item	Answer
Investment rating	Buy
Ideal entry price	Unavailable
Pullback buy zone	Unavailable +/- 3%
Breakout buy zone	Above Unavailable with volume confirmation
Fair value range	Unavailable - Unavailable
12-month target range	Unavailable - Unavailable
Key reason to buy	AWS + advertising + retail productivity create multiple compounding levers.
Key reason to avoid	AI capex and valuation can overwhelm near-term free cash flow optics.
What must happen	AWS AI demand must convert into revenue growth and margin dollars while retail/ads continue operating leverage.

Source List

- Amazon Investor Relations, Q1 2026 Results: https://ir.aboutamazon.com/news-release/news-release-details/2026/Amazon-com-Announces-First-Quarter-Results/
- Amazon Q1 2026 company release summary: https://www.aboutamazon.com/news/company-news/amazon-earnings-q1-2026-report
- Amazon FY2025 Form 10-K, SEC EDGAR: https://www.sec.gov/Archives/edgar/data/1018724/000101872426000004/amzn-20251231.htm
- Amazon FY2025 Annual Report PDF: https://s2.q4cdn.com/299287126/files/doc_financials/2026/ar/Amazon-2025-Annual-Report.pdf
- Market data and technicals: Yahoo Finance endpoints via local stock analyzer, when available.

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